

PERFORMANCE MARKERS

● The vision document envisages increasing the number of operational waterways ● It also plans to double the modal share of coastal shipping by 2047

	Status (as of 2021)	Target (2030)	Target (2047)
► Increase coastal cargo volumes (MTPA*)	148	230	1,300
► Increased modal share of coastal shipping	6%	7.50%	12%
► Regional trade and Northeast India movement through waterways (in million tonnes)	4.3	30	125
► No. of operational waterways	22	23	50

*MILLION TONNES PER ANNUM **SOURCE** MARITIME AMRIT KAAL VISION 2047

policymakers are addressing these challenges.

Competing with road and rail transport for a share of the cargo movement requires strategic planning and upgrading infrastructure, streamlining regulatory frameworks, and addressing environmental concerns, say industry players. Additionally, developing a skilled workforce will be essential to supporting operations.

“Through concerted efforts in infrastructure development, policy reforms, and technological innovation, India’s maritime sector is on the cusp of a transformational journey towards prosperity and progress. With prudent policies, funding mechanisms, and a focus on green transport, our waterways can revolutionise logistics for both inward shipments and exports,” explains Tandon.

Such efforts can also have potential knock-on effects like boosting trade and connectivity and driving economic growth in inland areas.

Additionally, international funding agencies like the World Bank and the Asian Development Bank, and instruments like green bonds, are providing crucial funding for such infrastructure projects.

FLYING THE FLAG

The government’s vision document also lays strong emphasis on ensuring an increase in the Indian-flagged fleet and reducing dependency on foreign-flagged vessels. This is expected to give the shipbuilding, recycling, and repair ecosystem in India a boost. According to the government, the share of the cargo carried by Indian-owned or flagged vessels has been dropping over the past decade and currently stands at only about 5.4%.

The growth of Indian-flagged shipping tonnage has not kept up with the pace of local trade needs. Though the number of ships flying the Indian flag has grown over the years, the share of the fleet as

a percentage of the world’s fleet remains near a paltry 1%. In contrast, leading nations such as China and Singapore have a share of 5% and 6.5%, respectively, in the world’s tonnage.

The government has cautioned that if corrective action is not undertaken, then this share may fall further, resulting in Indian-owned or built ships having no play even in the domestic shipping market.

With that in mind, the government is planning to launch a shipbuilding and repair policy. This would ensure that the growing demand that’s coming from the Indian shipping market is met in Indian shipyards. That opportunity has been pegged at more than ₹20 lakh crore by 2047.

To improve tonnage, the government is also looking at initiatives providing fiscal incentives, such as revisiting the applicability of TDS on wages paid to Indian seafarers and allowing input tax credit on the fuel and spares procured for vessels. It is also considering waiving GST on reverse charge for MRO (maintenance, repair, and overhaul) for Indian ships for services consumed outside India and granting infrastructure status to the shipping industry. That would open up other sources of financing to vessel owners, such as alternative investment funds. Besides, it is also looking to remove restrictions on ship leasing by insurance companies.

Taken together, these initiatives have the potential of establishing India as a maritime hub and making it a key coastal business centre. That will be another factor driving the country’s economic growth. **BT**

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